

as current events or acknowledged as legitimate fundamentals, they are certainly poised to be important in shaping the *next* phase of current events. By the time those events are manifest, the “fundamentals” hook will be out once again, but next time baited for bears.

“This Time It’s Different”

At market turns, the most naive people say, “This time it’s different.” Long time stock market watchers have often commented, “It’s never different.” Obviously I sympathize more with the latter view than the former, as long as the degree of the trend and turn are comparable. However, there is in fact a basis for saying “This time it’s different” that ultimately pertains to the degree of the turn. Compared to previous bull markets of the past fifty years, this one, because it marks the end of a trend at least two degrees larger than the others during this time, *is* different. The real question, even if you do not know anything about the Wave Principle, is *how do you interpret that fact?* The vast majority of analysts today improperly interpret the difference as bullish. Sentiment indicators have been crying “wolf!” for a while, so the majority of professionals believes that the indicators should therefore be ignored. “Stock prices have been historically high relative to dividends and book value for eight years now, and the market hasn’t fallen, so the indicator must be irrelevant.” “There has been no bear market for eight years, so the likelihood of one occurring continues to diminish.” “The momentum indicators have given several sell signals over the course of the past eight years, and none of them have been right. They obviously don’t work.” Are these sensible conclusions? Hardly. If it suddenly looks like rain, you take your umbrella, right? If it spends all day getting darker and more threatening, do you conclude therefore that rain is unlikely? Do you throw out your umbrella and dress for sunshine? *Or do you head for a storm shelter?* Multiple signals are not evidence of ineffectiveness; they convey a *higher-degree message*. Bearish indicator readings are extending because what is being created is the most negative technical condition in 275 years. It might be said that the indicators were crying “wolf” in 1987, they yelled “grizzly” in 1989, and today they are shouting “Godzilla!” When the market is building a Grand Supercycle top, such conditions are normal. The longer that bearish factors remain in place, the greater is their ultimate import.